

COMMERCIAL REAL ESTATE ADVISORY SERVICES

PROPERTY VALUATION MEMORANDUM

Apex Tower II — 100 Meridian Plaza, Downtown Financial District

CONCLUDED MARKET VALUE

\$78,500,000

\$424.32 / RSF | 6.75% Cap Rate

TO:	Investment Committee, Meridian Real Estate Fund	DATE:	October 15, 2025
FROM:	Vertex Valuation & Advisory Services LLC	VALUATION DATE:	October 1, 2025
PROPERTY:	Apex Tower II (185,000 RSF Office/Retail)	INTEREST:	Fee Simple Estate
SUBJECT:	Comprehensive Property Appraisal Summary	APPRAISER:	David Sterling, MAI, CRE

1. Executive Summary

Vertex Valuation & Advisory Services has completed a comprehensive real estate valuation of **Apex Tower II**, a 12-story, Class A multi-tenant commercial office building with ground-floor retail, encompassing 185,000 rentable square feet (RSF). The asset is situated on a 1.45-acre parcel in the core Downtown Financial District of Metro City.

Based on detailed market analysis, physical inspection, lease audit, and financial underwriting using Direct Capitalization, Discounted Cash Flow (DCF), and Sales Comparison methodologies, the market value of the Fee Simple interest in the subject property as of **October 1, 2025** is concluded at:

FINAL CONCLUDED MARKET VALUE: **\$78,500,000**

(Seventy-Eight Million Five Hundred Thousand Dollars)

APPRAISED VALUE

\$78.5M

\$424.32 / RSF

GOING-IN CAP RATE

6.75%

Exit Cap: 7.25%

NET OPERATING INCOME

\$5.30M

\$28.64 / RSF

OCCUPANCY / WALT

94.2%

WALT: 6.4 Years

2. Property Overview & Site Specifications

Apex Tower II is a premier institutional-grade asset constructed in 2018 and continuously maintained to Class A standards. The property features modern steel-and-glass curtain wall construction, a renovated double-height marble lobby, column-free floor plates averaging 15,500 RSF, and an integrated 240-space subterranean parking structure (1.30 spaces per 1,000 RSF).

PROPERTY PROFILE & PHYSICAL CHARACTERISTICS

Property Name	Apex Tower II	Year Built / Renovated	2018 / 2023
Address	100 Meridian Plaza, Metro City	Total RSF	185,000 RSF
Asset Class	Class A Office & Retail	Site Area	1.45 Acres (63,162 SF)
Occupancy Rate	94.2% (174,270 RSF Occupied)	Floor Count	12 Stories + 2 Sub-levels
Zoning	C-5 Core Commercial	Parking Ratio	1.30 / 1,000 RSF (240 spaces)
Anchor Tenants	Nexa Logistics, Synapse Tech	Structural Type	Steel Frame w/ Curtain Wall

3. Submarket & Economic Overview

The subject property is located within the Financial District Submarket of Metro City, representing the region's primary commercial business core. Flight-to-quality trends continue to drive strong tenant demand for modern Class A space across the submarket.

- Submarket Vacancy:** Overall submarket vacancy stands at 10.8%, while prime Class A vacancy remains tight at 7.2%.
- Market Rent Growth:** Direct asking rents for prime space grew 3.4% year-over-year to an average of \$38.50/SF NNN.
- Net Absorption:** Positive 142,000 RSF net absorption recorded in YTD 2025 across Class A office assets.
- Supply Pipeline:** Limited upcoming construction, with only one 120,000 RSF project scheduled for delivery through Q4 2026.